

Radhakishan one of the best value investors in living memory: a back-of-the-envelope calculation shows that the acquisition cost of VST shares for Bright Star was sub-zero, considering the hefty dividend pay-outs over the last nine years. Between July 2002 and July 2011, Bright Star – the investment arm of Damani which held the VST shares – pocketed Rs 71.36 crore through annual dividends ranging between 45 per cent and 450 per cent. This was more than the Rs 63 crore Bright Star had shelled out over the years to buy 26 per cent in VST.

I am not sure if Radhakishan got over his disappointment at being muscled out by the BAT-ITC combine. But if he were to keep his ego aside, Radhakishan had every reason to feel good about the deal. I wondered if Damani would have rolled up his sleeves and engaged himself in the day-to-day running of the tobacco firm had he got control of it.

Among all the market-men of his generation, Damani is the one I respect the most. I can think of many names on Dalal Street who are good at identifying potential multi-bagger stocks. But I cannot think of anybody else in the country who can identify a good business for investment and is also competent enough to run a business if it comes to that. Damani had already proved his entrepreneurial and managerial skills with the success of his retail chain D-Mart, which he built from scratch. A remarkable feat, considering the fierce competition from much bigger players in the sector. I knew somebody who had worked with Damani on setting up D-Mart. He told me that Damani was involved with every aspect of the venture, even personally doing the rounds of Crawford Market and Musafirkhana (in South Mumbai) for wares, scouting for variety and low prices. Damani's investment philosophy was simple: no matter how great the business, you had to buy the company at the right price to be able to get good returns.

He extended that philosophy to the running of D-Mart. He knew that customers would be looking for variety in his stores. But to build customer loyalty, he knew he would have to offer variety at a competitive price. After all, even the wealthiest of his customers loved a good deal, and they would certainly want their friends to know about the deals too. This approach paid off handsomely.

That he owned the real estate on which stood his stores helped Damani in the following years to keep a lid on operating costs. He had bought the land when it was not too expensive.